

Indian economy from a rising stock market, e.g., the drop in the cost of equity capital, the shift in household savings from unproductive physical assets to more productive financial assets. Understanding the uneven nature of economic progress is essential for those who aspire to emerge stronger rather than weaker from economic and financial cycles.

**Winners & losers:** Not only do free market democracies create winners and losers, but the winners tend to be few, and their margin of victory tends to be huge. In contrast, the losers are numerous, and their losses tend to look enormous in comparison to the spoils that accrue to the winners. This is a design feature of capitalism. The force behind this design feature is the Power Law, which posits that in any competitive economic situation (e.g. the stock market or a high stakes sports tournament such as Wimbledon), a very high proportion of the gains will accrue to a small minority of participants (e.g. the Wimbledon champion's prize money is 50x that of the player who loses in the first round).

The nature of economic progress, therefore, creates inequality, and India is no stranger to such an inequitable distribution of spoils. Understanding these inequalities helps not just investors but also other decision-makers such as CEOs and policymakers make better decisions.

**Interplay of social and economic change:** next Literature on the Indian economy that discusses issues such as unemployment, income inequality and Budget deficits without reference to the rich interplay between society and the economy is incomplete at best and misleading at worst. Although India is the world's fifth largest economy, it is only the 136th richest country in the world when ranked on per capita income of around ₹2.4 lakh or \$2,700. When



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## Economic progress creates inequality... Understanding that helps not just investors but also other decision-makers

such a country makes a transition from grinding poverty to second world status, it is but natural social and economic change will go hand in hand. As the economic historian Joel Mokyr describes in his outstanding book on the origins of the knowledge economy, *The Gifts of Athena* (2004), the industrial revolution and the subsequent multi-century growth surge of the West owed much to rise of social networks comprising universities, publishers, scientists, guilds, trade

bodies and kindred institutions. Through these networks knowledge was generated and disseminated and that in turn drove technological change and economic growth. The networking of India is driving a similar cycle of ideation, innovation and growth in the most unexpected corners. One of the privileges of living and working in India today is to witness these in full flow on a daily basis. **BT**

*Views are personal*